SECTION A

QUESTION 1

Characteristic	Sole Proprietorship	Partnership	Company
Number of owner	1√	2 – 20 partners√ @ 2 – 50 partners (professional)	• Private limited company: 2- 50 shareholders • Public limited company : 2 – unlimited√
Capital source / Capital contribution	Proprietor/Owner√	Partners / *sendiri*√	Shareholders / investor√
Liabilities	Unlimited	Unlimited @ Limited (professional)	Limited
Existence of organization	Risk of existence discontinuity	Risk of existence discontinuity	Perpetual existence
Control and administration (Management)	Proprietor/Owner	Active partners	Board of directors
Formation (Establishment)	Simple, no condition	Partnership Act 1961	Companies Act 1965
Income tax	Personal Income Tax	Personal Income Tax	Corporate tax
Distribution of profits/losses	Wholly owned by proprietor	Allocated according to Partnership Agreement	Distribution of dividend to shareholders

* *Only 2 answers at the top will be accepted if students provide more than 2 answers*

[6√ x ½ = 3]

QUESTION 2

(i) Revenue recognition√√ – Revenue is recognised as transaction happens and being recorded when the revenue has been earned, rather than being recognised at the moment when cash is received in relevant accounting period √√

[4√ x ½ = 2]

(ii) Accounting period √√ –Preparation of financial statement is based on accounting period, for example a year √√
OR not complied because accounts are prepared after one year of business incorporation

[4√ x ½ = 2]

* *Concept has to be correct, then only the elaboration of definiton would be accepted.*

QUESTION 3

Loss√ on disposal is incurred because book value √ of truck exceeds√ cash received√ from the sale of truck

[4√ x ½ = 2]

QUESTION 4

Incomplete record happens because:

- Transactions are not recorded according to double entry system.√√
- Data loss from natural disaster or theft.
- Only important information being recorded.

Two methods:

- Capital Comparison Method√
- Analysis Method√

[4√ x ½ = 2]

SECTION B

QUESTION 1

(i)

Perniagaan Seroja
Bank Reconciliation Statement
As at 31 August 2016

	RM	RM
Cash balance per bank statement		8,651
(+) Deposits in transit:		
Cheque no. 112113	2,060√	
Cheque no. 240615	637√	2,697
		11,348
(-) Outstanding cheques:		
Cheque no. 410124	732√	
Cheque no. 410125	1,512√	
Cheque no. 410126	215√	
Cheque no. 410127	2,400√	(4,859)
Adjusted cash balance per bank		6,489
Cash balance per books		8,354
(+) Rent revenue	1,200√	
Accounts receivable	1,715√	
Dividend revenue	200√	3,115
		11,469
Tolak: Error in recording cheque no 410120 (2,310 - 2,130)	180√√	
Accounts receivable – Sherry Enterprise	3,100√	
Accounts payable – Fatimah Enterprise (RM715 x 2)	1,430√√	
Insurance expense	250√	
Bank service charges	20√	(4,980)
Adjusted cash balance per books		6,489

[16√ x ½ = 8]

(ii)

Aug 31	Bank Rent revenue	1,200	 1,200√
	Bank Accounts receivable	1,715 √	 1,715√
	Bank Dividend revenue	200	 200√
	Purchase Bank	180√	 180
	Accounts receivable – Sherry Enterprise Bank	3,100√	 3,100
	Accounts payable – Fatimah Enterprise Bank	1,430√	 1,430 √
	Insurance expense Bank	250√	 250
	Bank service charges Bank	20√	 20

[10√ x ½ = 5]

** account and amount have to be both correct*

QUESTION 2

(a)

(i)

Date	Account title and explanation	Debit	Credit
2015			
July 1	Dr Vehicle	61,000√	
	Cr Cash (53,000 + 8,000)		61,000√

[2√ x ½ = 1]

(ii)

2015	Dr Depreciation expense - Vehicle [(61,000 - 4,000)/3 x 6/12)	9,500√√√	
Dec31	Cr Accumulated depreciation - Vehicle		9,500√
2016			
Dec 31	Dr Depreciation expense - Vehicle [(61,000 - 4,000)/3)	19,000√	
	Cr Accumulated depreciation - Vehicle		19,000√

[6√ x ½ = 3]

(iii)

2017			
Jan 2	Dr Cash	26,000√	
	Accumulated depreciation - Vehicle (9,500 + 19,000)	28,500√	
	Loss on disposal	6,500√	
	Cr Vehicle		61,000√
	Dr Disposal expense	500√	
	Cr Cash		500√
	OR		
	Dr Cash (26,000 – 500)	25,500√√	
	Accumulated depreciation - Vehicle (9,500 + 19,000)	28,500√	
	Loss on disposal (6,500 + 500)	7,000√√	
	Cr Vehicle		61,000√

[6√ x ½ = 3]

(b)

(i) Cost of goods sold: 100 x RM40 = RM 4,000√√

60 x RM50 = RM 3,000√√

<u>120</u> x RM55 = <u>RM 6,600</u>√√

<u>280</u> <u>RM13,600</u>

Unit sold = 160 + 40 + 40 + 40

= 280√√

[8√ x ½ = 4]

(i) Weighted average per unit $= \frac{\text{RM20,400}√√}{400√√}$

= RM51

Ending inventory cost = Weighted average per unit x Ending inventory unit

= RM51√√ x (400√√ – 280√√)

= RM6,120

[10√ x ½ = 5]

QUESTION 3

(a)

Date	Account title and explanation	Debit	Credit
2013 i) Jan 1	Dr Bank / Cash Cr Loan Notes payable (To record loan and notes payable)	65,000√√	 40,000√ 25,000√

[4√ x ½ = 2]

2013 ii) Dec 31	Dr Interest expense (40,000 x 10%) + (25,000 x 12%) Cr Interest payable (To record interest payable)	7,000√√√√	7,000√√

[6√ x ½ = 3]

2014 iii) Jan 1	Dr Interest payable Cr Bank / Cash (To record interest payment)	7,000√	7,000√

[2√ x ½ = 1]

2016 iv) Jan 1	Dr Interest payable (25,000 x 12%) Notes payable Cr Bank /Cash (To record redemption notes payable and payment for interest payable)	3,000√√ 25,000√	28,000√

[4√ x ½ = 2]

(b)

(i) Capital as at 1 July 2015:

Total of current asset	RM100,000√	
Total of non-current asset	145,000√	245,000
(-)Total liabilities		(125,000) √
		120,000√

[4√ x ½ = 2]

(ii)

Ending Asset			
Bank		110,000√	
Accounts receivable		34,000√	
Prepaid insurance		5,000√	
Inventory		57,000√	
Equipment	46,000√		
(-)Accumulated depreciation - Equipment	(18,700) √	27,300	
Land		50,000√	283,300√
(-) Ending Liabilities			
Accounts payable		38,000√	
Salaries payable		8,250√	
Loan		50,000√	(96,250) √
Ending capital			187,050

Ending capital		RM187,050
(+) Drawings	13,000√	
(-) Beginning capital	(120,000)√	107,000√
Net profit		80,050√

[16√ x ½ = 8]